

financial sector reforms. “When I began my career, we were just beginning to see the first signs of potential reforms. We were still operating within a closed and controlled economy in the early to mid-1980s. It was a great time to find areas and spots which could be transformed,” he says. One after the other, he got into auto financing, investment banking, mutual funds, life and general insurance, asset reconstruction, and, most significantly, banking, which is now the largest. (See ‘Building from Scratch’).

But the road was far from smooth: Kotak faced plenty of *agni parikshas* or trials by fire. “Starting a business was relatively the

ket scam. Not a very encouraging example for RBI. But Kotak Mahindra Finance got its banking licence in February 2003. In 2014-15, Kotak scaled by merging ING Vysya Bank. It was one of the biggest in India’s banking sector, as the Dutch financial giant ING held a 42.7% stake. Kotak’s partnerships with Goldman Sachs, Ford Credit, and Old Mutual were also turning points.

“I’m a great believer that Indian firms need to learn, implement, and execute well. Of course, the major transformation lies in how customer-centricity, risk management, and technology play together,” believes Kotak. And this approach is reflected in the returns the group has

in 2018, says it was a massive failure of risk management by the financial system. “I believe people became overly excited about infrastructure projects, particularly after 2005. Many infrastructure projects were initiated with very high leverage and improper takeouts,” he says.

From his very first day, Kotak has kept in mind what a mentor, Sydney Pinto, a company secretary and lawyer, had told him: ensure that whatever you do is within the framework of the law. “That was the first guiding principle in terms of whatever we did,” Kotak recalls. The second point, Kotak says, is that if some-

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Number of large group companies

100,000+

Total number of employees of the Kotak group

₹6.2 LAKH CR

Total assets of the group companies

₹3.6 LAKH CR

Total loans and advances of the group companies

₹3.4 LAKH CR

Market cap of Kotak Mahindra Bank as of March 1, 2024

₹14,925 CR

Total net profit of the group companies

DATA AS OF MARCH 31, 2023, EXCEPT MARKET CAP; SOURCE COMPANY

easy part,” he says. The Harshad Mehta securities scam in 1992 jolted the financial sector. “We not only survived but emerged from it completely unscathed,” he says. Then came the East Asian currency crisis and the decimation of NBFCs. The industry was on the brink till almost 2002-03, and Kotak was among the 20-odd out of over 4,000 to survive.

Another trial by fire was his decision to apply to the Reserve Bank of India for a banking licence at a time when Global Trust Bank, the first private bank to be promoted by professionals, was imploding after losing money in the 2001 stock mar-

generated in the last four decades. “An investment of ₹10,000 with us in 1985 would be worth around ₹300 crore today,” he posted on X as he stepped down. That’s a 38-40% compounded return.

Getting such returns over economic cycles, global challenges, and disruptions is not easy, especially when the group is conservative and cautious. Institutions often take risks and pay a price. GTB, YES Bank, IL&FS, and DHFL are some who took their eyes off the risk factor for short-term gains.

Kotak, who was called in to salvage IL&FS, the ‘Titanic’ of the NBFC sector when it went down

thing seems too good to be true, it probably is. “So don’t necessarily chase it,” says Kotak.

Third, when lending money, make sure you can recover it. And fourth is a relentless focus on risk-adjusted returns. “Price your risk. Build a deep culture of risk-adjusted returns because it is other people’s money. Banking is all about other people’s money,” says Kotak.

While HDFC Bank chief Aditya Puri and IndusInd Bank MD Romesh Sobti continued as MD & CEO until the age of 70, Kotak had to take a call after the RBI set out terms for MDs &